

complaint

Mr L and Ms M complain on behalf of themselves and Ms R who are leasehold owners of three flats in a building. They are unhappy that Royal & Sun Alliance Insurance Plc (RSA) won't pay their claim for subsidence damage and has removed cover for it from their home insurance policy.

background

Mr L and Ms M contacted RSA in October following the discovery of cracking to the building. RSA appointed engineers to carry out an investigation. They reported back that the property was suffering from subsidence. This was due to a nearby tree's roots causing damage to the drains. RSA followed up its investigation by looking at when the policy was taken out. This was in May 2016 by Ms M following a phone call to brokers. RSA said that in that call Ms M had incorrectly answered a question about trees – namely whether there was a tree within 7 metres of the property. She answered “no” when in fact, RSA says, there was a tree within 5 metres of the property.

Having referred it to its underwriters RSA advised that it would cover the claim for the drains as accidental damage but wouldn't cover the subsidence damage. It said that if it had known about the tree it would have issued a policy, but wouldn't have offered cover for subsidence damage. It then went onto remove any cover for subsidence damage from the policy.

Mr L and Ms M complained about this decision. They said that RSA was informed that the property had previously suffered subsidence damage and that nothing about trees near to the property appeared on the statement of fact issued with the policy, or in a questionnaire Ms M completed before speaking to the brokers. They also said the tree in question was more than 7 metres from Ms M's flat, though closer to the other two flats.

On referral to this service our adjudicator thought that RSA had acted unfairly. He didn't think clear questions had been put to Ms M or the other policyholders. RSA disagreed with that view – it said that Ms M had been asked a specific question about trees in the vicinity of the property as a whole. She had also advised the broker that there were no trees in the vicinity of the property at all. It further said that Ms M had told the broker the property hadn't moved in 40 years, when there had been a previous subsidence claim in 2006. Had it known about the tree or the previous claim, cover would have been restricted (presumably without cover for subsidence).

The matter has been referred to me for consideration.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

RSA's decision to withdraw cover for subsidence on the policy (and so not cover subsidence damage) goes back to when the policy was taken out. Under the Consumer Insurance (Disclosure and Representations) Act 2012, it is the consumer's duty to take reasonable care not to make a misrepresentation. Whether that was the case has to be looked at in all the circumstances of the case. This includes “*any relevant explanatory material or publicity produced or authorised by the insurer*” and “*how clear, and how specific, the insurer's questions were.*”

If a misrepresentation has been made the insurer must show “...*that without the misrepresentation, that insurer would not have entered into the contract at all, or would have done so only on different terms*”.

alleged misrepresentation

RSA says that Ms M was asked a specific question – whether there were any trees within 7 metres of the property. Ms M said “no”. I bear in mind that she and the other leaseholders were sold a policy covering the entire building in the form of an ordinary household policy. I think Ms M would have understood that, so to say that the tree wasn’t within 7 metres of her particular flat isn’t in my view relevant. On the face of it she gave a wrong answer.

But I have to take into account all the circumstances. From listening to the call to the broker, it’s clear that Ms M had filled in a questionnaire beforehand which she says didn’t mention trees. I haven’t seen that questionnaire, but RSA did advise us that it appreciated a consumer can misjudge a distance. But, as I’ve said this was a policy covering three flat owners and, I would say, different from a policy covering members of a household. In that each policyholder would have equal responsibility to make sure no misrepresentation was made. And the broker/insurer should make sure each policyholder is advised of the questions asked, and the answers given on their behalf.

After the phone call with the broker, a statement of fact was issued along with the policy. It said, under a heading “*Information provided to us and on which your policy will be based*”:

“*Your Home:*

is, to the best of your Knowledge free from signs of damage due to Subsidence and is not in an area where there has been or is evidence of Subsidence” To this the answer was given “No”.

I think that question is generally phrased so as to invite an answer of “yes”, inviting the policyholder(s) to say the property is free from subsidence. The answer “no” on the face of it says the property has signs of subsidence and is in an area where there is or has been evidence of subsidence. Nothing about trees in the vicinity appears on the statement of fact, despite it saying that this is what the policy is based on. In light of my comments about the other flat owners I don’t think a clear question was asked of them concerning the nearby tree. So I don’t think it can be said in the circumstances of this case, that there was a clear misrepresentation concerning the tree.

RSA has recently advised us that the brokers were told there were no trees at all in the vicinity of the property. I didn’t hear that in the telephone call. But I think it’s unfair to ask a question about trees within a certain distance and then to ask about other trees in the area – I don’t think it can have been intended that RSA would rely on a wider question.

recent claims

RSA says that Ms M misrepresented information about a subsidence claim. In the telephone call she did say that the property hadn’t moved in forty years and that there had been no subsidence claims within the previous twenty years. It appears that there had been a claim in 2006, when some crack repairs were carried out. But again the only question concerning subsidence set out on the statement of fact was as I have set above. A general question was asked about all claims in the previous five years and there weren’t any. I don’t think that

taking the case as a whole with the documents issued with policy, it can be said that there was a clear misrepresentation here.

I'm also not convinced that RSA would have declined to offer subsidence cover based on the 2006 claim. The insurance was clearly accepted on the basis that the property had suffered from subsidence. RSA has referred specifically to the tree being a factor and that if it had been told about it, it would have asked for a structural report on the tree before offering cover. And that in view of what it now knew from its engineers about the tree it wouldn't have offered subsidence cover. But it didn't say the 2006 claim was a factor. So I think it would've offered cover. We don't expect insurers to check a claims database before issuing a policy, but given the subsidence being declared here, I think it would have been reasonable for it to do so.

overall

Overall I'm not satisfied that there was a clear misrepresentation here which induced RSA to offer the full policy. It should reinstate the subsidence cover and remove any information on any database saying cover had been withdrawn. It should then go on to settle Mr L, Ms M and Ms R's claim for subsidence damage.

my final decision

I uphold the complaint and require Royal & Sun Alliance Insurance Plc to:

- reinstate the subsidence cover on Mr L, Ms M and Ms R's insurance and settle their claim for subsidence subject to the remaining terms and conditions of the policy, as reinstated.
- remove any reference to subsidence cover being withdrawn on any internal or external databases

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr L and Ms M to accept or reject my decision before 19 October 2018.

Ray Lawley
ombudsman